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WITH THE CENTRE PUSHING AHEAD WITH JAN VISHWAS 2.0, INDIA'S REGULATORY FRAMEWORK IS UNDERGOING ONE OF ITS MOST SIGNIFICANT RESETS—FROM CRIMINAL PENALTIES FOR MINOR BUSINESS INFRACTIONS TO A TRUST-BASED COMPLIANCE MODEL. BUT CAN DECRIMINALISATION ALONE UNLOCK GROWTH?

BY NEETU CHANDRA SHARMA

WHEN THE JAN Vishwas (Amendment of Provisions) Act, 2023, was enacted last year, few realised its scope would extend far beyond legal tweaks. By decriminalising 183 provisions across 42 central laws, the government started shifting its approach—from viewing businesses as potential offenders to recognising them as partners in nation-building.

Fast forward to mid-2025, and the next phase—Jan Vishwas 2.0—is already on the table. The government is preparing to decriminalise over 100 additional provisions, with the Jan Vishwas (Amendment of Provisions) Bill, 2025, expected to be listed for introduction in the Winter Session of Parliament. Together, these reforms are beginning to redesign the regulatory playbook for industries across the country.

The move was announced by Finance Minister Nirmala Sitharaman in her Union Budget 2025–26 speech, “To further trust-based governance, Jan Vishwas 2.0 is proposed to be introduced to decriminalise minor offences and convert them into civil defaults,” she said. The idea behind the initiative is to ease the regulatory burden on businesses, particularly small and medium enterprises (SMEs), many of which have been criticising criminal penalties for procedural lapses.

ECONOMIC ENABLER

The Department for Promotion of Industry and Internal Trade (DPIIT), which is drafting Jan Vishwas 2.0, has shortlisted 82 provisions across 129 laws after reviewing over 900 Acts. These span ministries such as Road Transport and Highways, Skill Development, and Consumer Affairs.

According to a recent report by

MAKING IT EASY

1. Ease of Doing

Business:

Jan Vishwas decriminalises minor offences in over 100 laws, reducing fear of jail time for technical lapses in industries like pharma and diagnostics

2. Lower Legal Risk for Healthcare Sector:

Acts like the Drugs and Cosmetics Act and the Environment Protection Act now prescribe monetary fines instead of criminal penalties, cutting compliance stress

3. State Enforcement a Grey Area:

Experts warn state-level regulators may continue old practices, limiting the law's on-ground impact, unless interpretation is standardised

4. Jan Vishwas 2.0 to Push Tech-Led Compliance:

The next phase aims to use AI tools, quicker adjudication and voluntary disclosures

5. Need for Checks Against Misuse:

Legal voices urge balance so that corporates don't treat fines as operational costs, calling for proportional enforcement and oversight